

[Template Guidance Note: Please delete or replace all guidance notes in grey (instructions) and blue (examples) before submission].

Country Readiness TOR Template

The Terms of Reference (TOR) is a document that defines the scope of support required by [Country Name], through the Readiness and Preparatory Support Programme.

[Template Guidance Note: This country's TOR serves as a 'blueprint' or 'roadmap' for addressing its readiness needs through one or two strategically planned programmes over the medium term, in alignment with the 2024-2027 readiness strategy.

If two programmes are chosen, a separate TOR must be developed for each. A hybrid approach could be employed, wherein one programme is implemented through direct access, while the second is delivered via a pre-qualified delivery partner. Each TOR will be used to solicit competitive offers from pre-qualified delivery partners or to be used by National Designated Authorities (NDAs)/focal points in the development of Direct Access Proposals if they opt for direct access.

For more details on the use of pre-qualified delivery partners and direct access, refer to the [Guide for Countries to Access Readiness Support](#). The TOR should not exceed 15 pages in length].

1. Country Information (0.5 page)

Country Information	Name of NDA or Focal Point:	<i>Please type here</i>
	Email Address:	<i>Please type here</i>
	Additional Email Addresses to be Included in Correspondence:	<i>Please type here</i>
Overview of Similar Initiatives	<i>Please list past and current GCF readiness grants, and relevant capacity-building initiatives funded by other agencies and funds, using annex 1.</i>	

2. Access Modalities (0.5 page)

	<i>Please chose one option</i>	
The current TOR is for:	☐ Direct Access by the NDA/focal point, in their coordination capacity	☐ Using a pre-qualified delivery partner, based on selection of the best technical and financial offer
	<i>Please chose one option</i>	
	☐ Single Country Support	☐ Multi-Country Support
	[If applicable] For Multi-Country Support, the following countries confirmed their interest and submitted letters of financial	

	support/commitment. _____ _____ <i>Please type here</i>
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3. Country Context (up to two pages)

This section provides an overview of the country context, including planned climate investments and priority areas for funding by the GCF and other sources of climate finance. It also highlights the country's key climate priorities, challenges, policies and institutional structures as well as gender considerations and stakeholder engagement.

[Template Guidance Note: Please briefly outline the context that will help understand the focus and set the context for the required readiness support, including but not limited to the following subheadings]

3.1 Project Pipeline and Priorities

[Template Guidance Note: Identify the country's current project pipeline and priorities for climate action, including planned for the GCF funding. This will help align readiness support with the country's most pressing needs and strategic objectives].

For example:

- *Ongoing projects include "Resilient Agriculture for Smallholder Farmers"*
- *The key priorities are enhancing resilience in agriculture and improving water resource management*

3.2 Countries Climate Challenges

[Template Guidance Note: Summarise the country's primary climate-related issues, including its vulnerability to climate change, exposure to extreme weather events, and the impact of climate change on sustainable economic development].

For example:

- *Country X is experiencing increased frequency of extreme weather events, including hurricanes and prolonged droughts, significantly impacting agricultural productivity.*
- *Impact on Economic Development: Climate change threatens key economic sectors, especially agriculture and tourism, which account for 40 per cent of GDP. Rising sea levels also pose a risk to coastal infrastructure and communities.*

3.3 Policy Framework

[Template Guidance Note: Summarise the country's current climate policies, strategies, and action plans in place, including the progress in the development and/or implementation of Nationally Determined Contributions (NDCs), National Adaptation Plans (NAPs), and Long-Term Strategies (LTS)].

For example:

- *NDCs: Country X's NDC commits to a 25 per cent reduction in greenhouse gas emissions by 2030, with a focus on enhancing resilience in vulnerable sectors*

- *NAP: The NAP outlines strategies to promote climate-resilient agriculture, improve water resource management and strengthen coastal defences*
- *LTS: Country X's LTS envisions a low-carbon economy by 2050, with significant investments in sustainable agricultural infrastructure*

3.4 Institutional Framework

[Template Guidance Note: Offer a brief overview of the institutional structure for climate finance, including the roles of ministries of finance, economy and strategic planning, central banks, and executing entities in the climate action and/or climate finance. Mention any coordination mechanisms, such as working groups for NDCs or NAPs, if such exist].

For example:

- *Institutional Structure: The Ministry of Climate Action and Sustainable Development is the leading entity for climate finance and policy, supported by the Ministry of Finance, Ministry of Agriculture and the National Disaster Management Authority*
- *Coordination Mechanisms: There are established working groups for NDC implementation, involving key stakeholders from government, civil society and the private sector*

3.5 Gender Equality Analysis

[Template Guidance Note: Provide a brief analysis of the country's gender equality status. If available, explain how climate change has affected people of different genders in various sectors and areas. Where relevant, consider gender equality in the proposed interventions].

For example:

- *Country X has made significant progress in promoting gender equality, with women now occupying 30 per cent of leadership roles in government and the private sector. However, disparities remain, particularly in rural areas where women have limited access to resources and decision-making power*
- *Women, especially in rural communities, are disproportionately affected by climate change. For instance, increased droughts have led to water scarcity, placing a greater burden on women and girls who are primarily responsible for water collection. Additionally, women working in agriculture face heightened risks as climate change exacerbates crop failures and food insecurity*

3.6 Stakeholder Engagement

[Template Guidance Note: Briefly reflect on the level of engagement with key stakeholders, including private sector actors, local communities, civil society, women-led groups, and Indigenous peoples].

For example:

- *Private Sector: The government has engaged with major industries, including small-holder agriculture, to integrate climate considerations into business operations*
- *Local Communities: Initiatives have been launched to involve local communities, particularly women and indigenous groups*
- *Civil Society: Collaboration with NGOs working on climate justice and gender inclusion*

4. Statement of Objectives and Scope of Work (up to five pages)

This section aims to clearly define the objectives and scope of the readiness support being sought. It outlines: (1) the anticipated impact of readiness support on climate programming and direct access, highlighting how the support will enhance the country's capacity to design and implement climate projects; (2) the alignment of the readiness support with national climate goals, including the implementation of NDCs, NAPs, and LTS, and (3) specific areas of readiness support required, addressing capacity gaps and aligning with the objectives and outcomes of the 2024-2027 readiness strategy.

[Template Guidance Note: To form a statement of the objectives for the readiness support, consider the optional [Guide for Countries on Strategic Planning of Readiness Support](#)].

4.1 Anticipated Impact on Climate Programming and Direct Access

[Template Guidance Note: Describe the expected impact of readiness support on climate programming and direct access].

For example:

- *The readiness support is expected to strengthen Country X's capacity to design and implement climate projects by building the capacity of a Project Preparation and Support Unit established within the Ministry of Climate Action and Sustainable Development. This unit focuses on developing high-quality, bankable proposals tailored to investment criteria of GCF and other sources of climate finance and will be equipped with advanced project management software to track and report on project progress*
- *Country X aims to secure GCF funding to finance four climate adaptation projects focused on flood management and drought-resistant agriculture, prioritised by the government. These projects are expected to protect 200,000 hectares of agricultural land and improve water security for over 300,000 people*

4.2 Alignment with NDC/NAP/LTS Implementation

[Template Guidance Note: Explain how the readiness support that is being planned, aligns with the implementation of NDCs, NAPs, and LTS, and overall expected contributions to national climate goals].

For example:

- *The drought-resistant agriculture project will address key adaptation priorities identified in the NAP, such as enhancing the resilience of agricultural systems and improving water management. By protecting 200,000 hectares of agricultural land, the project will mitigate the impacts of climate change on food security, a critical NAP objective*

4.3 Scope of Readiness Support Required

*[Template Guidance Note: Outline the requested areas of support by identifying **readiness needs** and **capacity gaps** in relation to the objectives and outcomes of the 2024-2027 readiness strategy. To assist in identifying capacity gaps and readiness needs, please refer to the guiding questions in the optional [Guide for Countries on Strategic Planning of Readiness Support](#). The GCF Secretariat is available to collaborate with and advise countries in strategic, medium-term planning and developing their readiness TORs. Please find an example of planned readiness needs per Objective, overleaf. **Please note that the table format is not mandatory.** Examples serve as an illustration only].*

Objectives	Outcomes	Readiness Needs and Capacity Gaps (examples)
□ Objective 1 -- Institutional strengthening and strategic frameworks	□ Outcome 1.1. Developing countries, through NDAs or focal points, have enhanced capacity to fulfil their roles, responsibilities and policy requirements, including coordination mechanisms to engage relevant stakeholders to develop, advance and implement NDCs, NAPs and LTS.	Strengthen capacity of NDA or other relevant agency staff on stakeholder engagement to implement NDC/NAP/LTS.
	□ Outcome 1.2. Developing countries design and implement strategic frameworks (including NDC/NAP/LTS), policies and instruments, including climate investment plans, to create enabling environments for integrated climate investments.	Facilitate development of NDC.3 and/or update NAP. Develop strategic planning capacity within NDA/relevant government agencies to develop and implement climate investment plan for NDC/NAP implementation. Help develop a climate investment plan for NDC/NAP implementation.
	□ Outcome 1.3. Direct access applicants and accredited entities (DAEs) have met and maintained the accreditation standards of the GCF and strengthened their programming capacities, as evidenced by the development of GCF-funded activities.	Country X needs technical assistance to select most suitable DAEs that can secure climate investment and deliver on NDC/NAP objectives. Assist with the accreditation process of the selected DAEs.
□ Objective 2: Paradigm-shifting pipeline development and implementation, guided by national priorities and GCF USP-2 targets	□ Outcome 2.1. Developing countries have developed or updated their country programmes to guide GCF investment.	Support is required in revising and updating country programme to fully align with current national priorities and GCF's new strategic targets.
	□ Outcome 2.2. Developing countries have developed high-quality concept notes linked to approved GCF proposals for adaptation and mitigation that are aligned with the USP-2 results, including through DAEs, that build on readiness support and country programmes.	Training and Technical Assistance: Country X needs targeted training programmes for the newly established Project Preparation and Support Unit within the Ministry of Climate Action and Sustainable Development. These programmes will focus on the development of high-quality, bankable proposals that align with the GCF's investment framework and other climate finance criteria. This includes understanding GCF's six investment criteria. Workshops and Mentorship: Conduct workshops that bring in experts to mentor the staff on proposal writing, financial structuring and risk assessment. These workshops will help ensure that proposals are not only technically sound but also financially viable and attractive to investors. Capacity-Building in the Development of Concept Notes and Funding Proposals: Country X will require support in developing and refining concept notes for the four prioritized climate adaptation projects focused on flood management and drought-resistant agriculture. This will include technical assistance to ensure alignment with GCF investment criteria by addressing compliance standards, conducting risk assessments and developing robust mitigation strategies.

		<i>Additionally, financial structuring and sustainability planning will be crucial, with a focus on cost-benefit analysis, co-financing options and long-term sustainability strategies. The support will include guidance on drafting, refining and preparing high-quality concept notes and all necessary documentation for GCF submission. Furthermore, a comprehensive monitoring and evaluation (M&E) framework will be developed, along with capacity-building for relevant staff to ensure effective tracking of project outcomes. This targeted support will equip Country X to produce strong, competitive proposals that meet GCF criteria and address its critical climate adaptation needs.</i> Stakeholder Engagement and Coordination: Readiness support will also focus on strengthening stakeholder engagement processes to ensure that all relevant parties, including Party x, y, z, are involved in project development and implementation. This will enhance project ownership and increase the likelihood of successful project outcomes.
	<i>□ Outcome 2.3. NDAs and DAEs have enhanced processes and systems to effectively oversee the implementation, financial management, monitoring and reporting of climate programmes and projects.</i>	Advancing Project Management Systems: The readiness support should include the procurement and implementation of advanced project management software tailored to the needs of climate finance projects. This software will enable the Project Preparation and Support Unit to efficiently track project progress, monitor key performance indicators, manage resources and ensure compliance with GCF reporting requirements. Alongside the installation of the software, the readiness support should include training for the relevant staff on how to effectively use the software for project tracking, reporting and adaptive management. <i>Develop and put in place systems and processes for effective oversight, financial management and reporting on climate programmes and projects within NDA and the two relevant ministries.</i> <i>Training and development of systems for reporting on GCF-funded projects is needed for selected DAEs.</i>
<i>□ Objective 3: Knowledge-sharing and learning</i>	<i>□ Outcome 3.1. Developing countries, through NDAs or focal points, have made use of knowledge products to address policy gaps and integrated climate investment programming and implementation.</i>	<i>Limited access to sub-national data related to climate vulnerability in Provinces X, Y and Z. Readiness is required for the development of data sets and establishing knowledge-sharing platforms between sub-national and national levels, to inform policymaking and climate investment.</i>
	<i>□ Outcome 3.2. Enhanced collaboration among developing countries on climate change issues, evidenced by transboundary and regional cooperations/South-South cooperation.</i>	<i>Lack of established mechanisms for regional learning and limited participation in South-South cooperation initiatives.</i> <i>Support is required for the facilitation of regional cooperation initiatives between Country X and Country Y (that has successful methodology in place), and other South-South exchanges on issues of resilience of agricultural systems and improving water management.</i>

5. Responsibilities of the Delivery Partner (if applicable) (up to two pages)

The current TOR serves for pre-qualified delivery partner(s) to undertake the following types of support:

[Template Guidance Note: List tasks for the Delivery Partner outlining all applicable types of support in relation to the scope identified in the previous section, such as technical assistance, knowledge transfer, learning and knowledge management, stakeholder engagement and coordination.

This section applies if the TOR is used to solicit competitive offers from pre-qualified delivery partners. If the direct access option is chosen, NDAs/focal points will develop/submit the Direct Access Proposal to the GCF Secretariat directly].

For example:

Knowledge Transfer and Capacity-Building:

- Training and Workshops: The delivery partner will conduct targeted training sessions and workshops to build the capacity of the Project Preparation and Support Unit in all aspects of project development, management and reporting*
- Ongoing Support: The delivery partner will offer ongoing advisory support throughout the project preparation and implementation phases, ensuring that the Unit can adapt to any challenges and maintain high standards of project quality*

Technical Assistance:

- Support in Problem Identification and Solution Mapping: The delivery partner will provide technical expertise to identify specific climate risks and vulnerabilities related to the prioritised projects. This includes conducting climate impact assessments, identifying appropriate solutions and integrating innovative approaches into the project design, such as climate-resilient crop varieties and advanced irrigation technologies*
- Integration of Best Practices: The delivery partner will ensure that the project designs incorporate global best practices and lessons learned from similar projects, tailored to the local context of Country X*
- Compliance Support: The delivery partner will guide the Project Preparation and Support Unit in ensuring that they understand and acquire knowledge on developing concept notes and proposals that meet the GCF's investment criteria*
- Risk Assessment and Mitigation: The delivery partner will assist in conducting comprehensive risk assessments and developing mitigation strategies that align with GCF safeguards and policies, ensuring that the proposals address financial, environmental and social risks*
- Financial Structuring and Sustainability Planning - Cost-Benefit Analysis: The delivery partner will conduct detailed financial analysis, including cost-benefit analysis and exploring co-financing options to ensure the economic viability of the four projects*

- *Long-Term Sustainability Planning: The delivery partner will assist in developing strategies for the long-term financial sustainability of the projects, including the exploration of public-private partnerships (PPPs) and other recurrent funding mechanisms*
- *Proposal Development and Documentation: The delivery partner will assist in preparing all necessary documentation for GCF submission, including annexes, budget justifications and compliance with GCF's submission requirements*

Stakeholder Engagement and Coordination:

- *Facilitation of Inclusive Consultations: The delivery partner will work with the Project Preparation and Support Unit to organise and facilitate stakeholder consultations, ensuring the involvement of government agencies, local communities, civil society and the private sector. This includes conducting validation workshops to refine project proposals and gather feedback from all relevant stakeholders*
- *Strengthening Coordination Mechanisms: The delivery partner will work with the Project Preparation and Support Unit to establish or enhance coordination mechanisms with other ministries and stakeholders, ensuring alignment with national development goals and strategies*

Monitoring and Evaluation (M&E) Framework Development:

- *Development of M&E Plans: The delivery partner will help develop a comprehensive M&E framework to track the progress and impact of the projects. This includes defining key performance indicators (KPIs), establishing baselines and setting up data-collection and reporting mechanisms*
- *Capacity-Building for M&E: The delivery partner will provide training to relevant staff on implementing the M&E framework, ensuring that the Project Preparation and Support Unit has the skills and tools necessary to monitor and evaluate project outcomes effectively*

6. Expertise of the Delivery Partner (if applicable) (1 page)

The following expertise requirements are required to fulfil the current TOR:

[Template Guidance Note: List specific requirements. This section applies if the TOR is used to solicit competitive offers from pre-qualified delivery partners. If the direct access option is chosen, NDAs/focal points will develop the Direct Access Proposal. Upon request, the GCF Secretariat can assist with defining specific requirements].

For example:

- *Technical Expertise: The delivery partner should possess proven expertise in climate adaptation and mitigation, particularly in areas relevant to the proposed projects, such as flood management, drought-resistant agriculture and sustainable water management. The partner must have experience in developing high-quality, bankable proposals that align with the investment criteria of the GCF and other climate finance sources*
- *Project Management Capability: The partner should have a demonstrated ability to manage complex, multi-stakeholder projects, ensuring timely delivery and compliance with all relevant guidelines and standards*
- *Capacity-Building and Knowledge Transfer: The delivery partner is expected to provide comprehensive capacity-building support to the Project Preparation and Support Unit within the Ministry of Climate Action and Sustainable Development. This includes conducting training sessions, workshops and ongoing advisory support. The partner should have a strong track record in delivering effective capacity-building programmes, particularly in developing countries*
- *Stakeholder Engagement: The delivery partner must be skilled in building and maintaining strong relationships with all relevant stakeholders, fostering a collaborative approach to project development and implementation*
- *Financial Structuring and Sustainability Planning: The delivery partner should have expertise in financial structuring, including cost-benefit analysis, risk assessment and the development of sustainable funding models such as PPPs. The partner must be capable of advising on long-term financial sustainability strategies, ensuring that the projects continue to deliver benefits beyond the initial funding period*
- *Compliance with GCF and National Requirements: The delivery partner must ensure that all activities and outputs are fully compliant with GCF's guidelines, standards and safeguards, as well as with national laws and regulations. The partner should be familiar with GCF's submission processes and requirements, providing guidance and support to ensure successful proposal submission*

7. Country Results Framework and Deliverables¹

This Country TOR should include a Country Results Framework, directly aligned with the three objectives of the 2024-2027 Revised Readiness Strategy and details of the expected outcomes and deliverables that will be produced as part of the readiness support.

[Template Guidance Note: Please use the Results Framework template and attach it to this Country TOR.

PLEASE NOTE: Each country is required to select the relevant Outcome Indicator, establish the Baseline and Targets in alignment with the Revised Readiness Results Management Framework ("Revised RRMF") and its Indicator Reference Sheet. List the expected deliverables, referencing the objectives of the 2024-2027 revised readiness strategy. The following table lists the indicative deliverables that could be considered in the framework. The GCF Secretariat is available to collaborate with and advise countries in developing the framework. The NDA/focal point may also leave the choice of detailed deliverables to delivery partners, while specifying minimum requirements, timelines, and/or guiding principles].

¹ The Template Guidance Note has been updated to align with the Revised Readiness Results Management Framework (Revised RRMF) and the Financial Proposal template.

For example:

Readiness Objective	Deliverables
Objective 2: Paradigm-shifting pipeline development and implementation	<i>Project Design and Proposal Development:</i> • <i>Deliverable 1: Detailed Concept Notes for Four Climate Adaptation Projects</i> ○ <i>Fully developed concept notes for the four prioritized projects, focusing on flood management and drought-resistant agriculture. Each concept note should include problem identification, solution mapping, integration of innovative approaches and alignment with GCF investment criteria</i> • <i>Deliverable 2: Workshop Reports</i> ○ <i>Workshops on preparing investment-grade project ideas, CNs and Funding Proposals (FPs): 4-5 workshops on preparing investment-grade project ideas, CNs and FPs and/or a portfolio of investment-grade project ideas, CNs and FPs developed by DAEs post-workshop, accompanied by an evaluator's summary indicating alignment with investment criteria</i> <i>Capacity-Building and Knowledge Transfer:</i> • <i>Deliverable 3: Comprehensive Training Programme for the Project Preparation and Support Unit</i> ○ <i>A series of workshops and training sessions focused on enhancing the technical and managerial capacity of the Unit, including proposal writing, project management, financial structuring and stakeholder engagement</i> • <i>Deliverable 4: Knowledge Transfer Reports</i> ○ <i>Detailed reports documenting the training sessions and workshops conducted, including participant feedback, learning outcomes and recommendations for further capacity-building</i> <i>Stakeholder Engagement and Coordination:</i> • <i>Deliverable 5: Stakeholder Engagement Plan and Consultation Reports</i> ○ <i>A comprehensive stakeholder engagement plan outlining strategies for inclusive consultations with all relevant stakeholders</i> <i>Project Management and Monitoring Tools:</i> • <i>Deliverable 6: Implementation of Advanced Project Management Software</i> ○ <i>Installation and customisation of project management software tailored to the needs of the climate adaptation projects, including features for tracking progress, financial management and reporting</i> • <i>Deliverable 7: Training on Project Management Software</i>

	○ <i>Training sessions (4-5) for relevant staff on the use of the project management software, ensuring that the Unit can efficiently manage and report on project activities</i> <i>Financial Structuring and Sustainability Planning:</i> • <i>Deliverable 8: Financial Structuring Report</i> ○ <i>A detailed report on the financial structuring of the projects, including cost-benefit analysis, risk assessments and recommendations for co-financing and PPPs</i> • <i>Deliverable 9: Sustainability Strategy Document</i> ○ <i>A long-term sustainability strategy for each project, outlining plans for financial sustainability, including potential revenue streams, recurrent funding mechanisms and stakeholder roles in sustaining project benefits post-GCF funding</i> <i>Monitoring and Evaluation (M&E) Framework:</i> • <i>Deliverable 10: Comprehensive M&E Framework</i> ○ <i>A detailed M&E framework for the projects, including KPIs, baseline data and a data-collection plan. This framework should align with both GCF's requirements and Country X's national priorities</i> • <i>Deliverable 11: M&E Training Manual and Sessions</i> ○ <i>A manual and training sessions for the Project Preparation and Support Unit on implementing the M&E framework, ensuring that staff can effectively monitor and evaluate project outcomes</i>
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8. Schedule of Deliverables-based Payments (up to two pages)

Payments are suggested for the achievement of specific deliverables rather than input-based costs such as staff time. The deliverables should be derived from the Logical Framework (Logframe) to ensure coherence with the intended results of the readiness programme of activities. It must be clearly demonstrated, with verifiable evidence of progress, how each deliverable contributes to the achievement of outcomes and outputs as defined in the Revised RRMF. The overall budget allocation for this TOR is based on the relative weights outlined in the readiness strategy:

- 30 per cent for activities under Objective 1
- 60 per cent for activities under Objective 2
- 10 per cent for activities under Objective 3

The disbursement of payments will be linked to the completion and approval of Payment Deliverables, as discussed and agreed upon between the GCF and the country under the Country Support Window, and as outlined in the financial proposal in accordance with the appropriate template².

[Template Guidance Note: The following example is provided for illustrative purposes only. Countries have the flexibility to propose specific deliverables that would trigger payments, including the number of payments tailored to their unique circumstances.]

*Payment Deliverables are required to be requested between **two (2)** and **four (4)** times per year, depending on the scope, duration, intended pace of implementation, and structure of deliverables. This approach is intended to support efficient processing and timely handling of payment requests. The payment schedule must be clearly reflected in the approved financial proposal].*

Example:

Readiness Objective	Payment-triggering Milestone / Deliverable		Schedule	USD
Advance	Payable upon signing the Work Order (for pre-qualified delivery partners) or the grant agreement (for direct access)	1	[Date]	[Amount]
Objective 2: Institutional strengthening and strategic frameworks (30 per cent)	Deliverable 1: Detailed Concept Notes for Four Climate Adaptation Projects	2	[Date]	[Amount]
	Deliverable 2: Workshop Reports			
	Deliverable 3: Comprehensive Training Programme for the Project Preparation and Support Unit			
	Deliverable 4: Knowledge Transfer Reports			
	Deliverable 5: Stakeholder Engagement Plan and Consultation Reports			
	Deliverable 6: Implementation of Advanced Project Management Software	3	[Date]	[Amount]
	Deliverable 7: Training on Project Management Software			
	Deliverable 8: Financial Structuring Report	4	[Date]	[Amount]
	Deliverable 9: Sustainability Strategy Document			
	Deliverable 10: Comprehensive M&E Framework	5	[Date]	[Amount]
	Deliverable 11: M&E Training Manual and Sessions			
Annual External Audit	Provision must be made for an annual independent, third-party financial audit of readiness resource utilisation starting from the project implementation commencement date. The audit report template and TOR can be accessed			[Amount]

² The Direct Access Financial Proposal template is available for countries' direct access under the Country Support Window. The mini-tender financial proposal template is used for the engagement of Delivery Partners from the GCF's pre-qualified pool.

	online and include: a) an illustrative audit report template; and b) a sample draft audit TOR	
Independent Evaluation/ Impact Study	Provision may be made for an independent evaluation or impact study at the conclusion of readiness activities. This study should be conducted by an external evaluator to assess the effectiveness of the readiness activities, their impact on the country's climate objectives, and their alignment with GCF outcomes. The evaluation will also capture lessons learned to inform and improve future readiness initiatives	[Amount]
Contingency	A maximum of 3 per cent of total activity budget may be suggested to allow flexibility in relation to unforeseen or unplanned expenses related to the implementation of readiness activities.	[Amount]
	Total	[Amount]

9. Monitoring, Evaluation and Reporting³

To assess and report on the outcomes and impact of readiness support, the GCF Secretariat follows a results based management approach which uses the revised Readiness Results Management Framework (*Revised RRMF*) as a tool. The RRMF has been revised to align with the objectives and outcomes outlined in the 2024-2027 readiness strategy.

Please note that there are, as per the Revised RRMF, two levels of monitoring and reporting. The first is at the programme/project level, and the second is at the Country level. Outlined below are the monitoring and reporting requirements and responsible parties.

1. Programme Monitoring and Reporting (Output Level)

Responsibility & Tasks:

[Please select the applicable option below based on the access modality used:

- In the case of direct access, the **NDA/focal point**, an **agency designated for direct access**, or a **Framework Agreement (FWA) holder***
- In the case of indirect access, the **Delivery Partner**—selected from the GCF's pre-qualified pool through a mini-tender*

...] is responsible for monitoring the programme/project's implementation and preparing relevant reports that detail the progress of output-level results and deliverables as articulated in the programme/project logframe.

Financial Reporting: Regular financial reporting is the principal reporting mechanism under Readiness. Reports should provide an overview of funds received and expended and a comparison of planned versus actual expenditure with rationale for any variances. All financial reports must be presented in USD, in line with the approved programme budget. The detailed reporting requirements, including content and format, will be specified in the implementation-related templates.

³ This section has been updated to align with the Revised Readiness Results Management Framework (Revised RRMF)

Reporting Frequency: Annual progress reports, including financial reporting, are to be submitted to the GCF Secretariat by 31 March of each year, unless otherwise agreed to in the respective legal agreements. Upon project closure, a completion report must be submitted within three months of the completion of the activities outlined in the Country TOR.

2. Financial Audits

Responsibility: Independent, third-party auditor commissioned by *[choose appropriate] the NDA/focal point or designated agency or FWA holder in case of direct access, or by the delivery partner if chosen from the GCF pre-qualified pool through mini-tenders.*

Task: Regular financial audits to ensure responsible and transparent fund management, preventing misuse or mismanagement and ensuring compliance with GCF and national requirements.

Reporting Frequency: Annual financial audit reports must be submitted to the GCF Secretariat by 31 March of each calendar year, unless an alternative frequency and deadline is agreed upon at the conclusion of the legal agreement addressing this TOR. The completion financial audit report to be submitted to the GCF Secretariat within three months of completing the activities.

3. Mid-Term Review (if the programme is four years).

This will align with the Year 2 annual progress report; *a separate mid-term report is not required.* Instead, a specific section in the Year 2 annual progress report will focus on the assessment of the adequacy of the initial design of the four-year programmes, the evaluation of the progress made towards achieving project objectives, and the review of the effectiveness of the delivery partner (if selected from the GCF pre-qualified pool). It will also identify any challenges encountered. The findings from this review will be used to make necessary adjustments to the project implementation plan in Years 3-4.

4. Country Monitoring and Reporting (Outcome-Level)

Responsibility & Tasks: The NDA/focal point or designated agency is responsible for monitoring and preparing country-focused reports that detail the implementation progress of the Readiness programme outcome-level results as outlined in the **Country Results Framework (Section 7 of the Country TOR)**. Irrespective of whether support is accessed through the Country Window or the DAE Window, the country (through NDA/focal point or designated agency) bears ultimate responsibility for reporting to the GCF at the outcome level. This includes working collaboratively with Delivery Partners, FWA holders, or Direct Access Entities (DAEs) to compile and consolidate reporting and evaluations at the country level.

Reporting Frequency: Annual outcome-level monitoring reports to be submitted to the GCF Secretariat by June 1st, unless otherwise agreed to in the relevant legal agreements.

5. Final Evaluation

Responsibility: An independent evaluator will be commissioned by *[choose appropriate] the NDA/focal point, a designated agency, or a FWA holder, in case of direct access, or by the delivery partner if chosen from the GCF pre-qualified pool through mini-tenders.*

Task: Upon completion of the project implementation period, an independent evaluation will be conducted to assess the overall impact of the readiness activities outlined in the current TOR. This evaluation will measure the contribution of these activities to the country's objectives and GCF outcomes, guided by the GCF Evaluation Policy and Standards. It will include an impact assessment and document lessons learned to inform future project planning and readiness support. If the country selects two programmes, the GCF Secretariat and the country may consult to explore the rationale and feasibility of conducting a single evaluation for both programmes.

Reporting Frequency: The final evaluation report will be submitted to the GCF Secretariat within three months of completing the readiness activities outlined in the Country TOR.

10. A Note on Adaptive Management

Once the TOR is addressed through the Work Order (for pre-qualified delivery partners) or the grant agreement (for direct access), the approved readiness support may need adjustments due to emerging requirements or changing priorities. To ensure responsiveness to evolving operational contexts, flexibility is provided to revise the TOR along with the Work Order or the grant agreement. Modifications such as the reallocation of the approved budget among cost categories, resulting in a variation of more than 25 per cent, must seek prior approval from the GCF Secretariat. This includes the use of contingency budget lines, and requests must be supported by justifications acceptable to the GCF Secretariat.

No-cost extensions are strongly discouraged, as they may reflect inadequate planning or management; however, they may be considered in cases of absolute necessity to complete readiness activities, provided there is strong justification. In such instances, a formal written request by the NDA or focal point (in case of direct access) or a formal written request endorsed by the NDA or focal point (in case of a pre-qualified delivery partner), must be submitted to the Secretariat at least 90 calendar days before the initially planned end date of the readiness activities.

Annex 1: Complementarity and Coherence

[Template Guidance Note: The GCF is committed to ensuring the most effective and efficient use of readiness resources. To achieve this, it is essential to account for relevant readiness activities undertaken not only by the GCF but also by other actors in the global climate finance arena, including other climate funds such as the Adaptation Fund (AF), the Global Environment Facility (GEF), and the Climate Investment Funds (CIF); bilateral and multilateral development banks; international financial institutions; and other relevant platforms and initiatives. Each TOR and readiness programme of support should include a complementarity matrix, reflecting a screening and mapping exercise to identify relevant initiatives by other key players in the target geography, including past and present GCF programmes. This ensures that there is no duplication and that complementarity and synergy between the GCF and other relevant efforts are coordinated and promoted].

This annex provides a brief summary of past and present capacity-building efforts supported through the GCF Readiness Programme, as well as other capacity-building initiatives funded or commissioned by entities other than the GCF.

GCF Readiness Activities

Title & Reference Number	Start and End Dates	Relevant Target Geography	Key Outcomes & Results
<i>[Please type here]</i>	<i>[Please type here]</i>	<i>[Please type here]</i>	<i>[Please type here]</i>

[Template Guidance Note: Insert additional rows as needed.]

Other Capacity-Building Initiatives Funded or Commissioned by Parties Other Than GCF

Title	Funding Agency	Start and End Dates	Relevant Target Geography	Main Objectives
<i>[Please type here]</i>	<i>[Please type here]</i>	<i>[Please type here]</i>	<i>[Please type here]</i>	<i>[Please type here]</i>

[Template Guidance Note: Insert additional rows as needed.]